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US Rates Strategy | North America

Get Ready For the Noisiest US Front End In a Generation

The toolkit the Fed uses determines the rates regime, and 36 years of data say the front end and the shape of the curve, not the level of yields, define it. A return to a short statement, little forward guidance, and a small balance sheet should bring back the noisiest front end in a generation.

Key Takeaways

- The level of yields does not separate the four Chairs in any clean way. Front-end volatility does, and it has fallen with every Chair since Greenspan took over.
- Under Greenspan the front end was the curve's engine, a 2-year move pulling the whole curve along. Under Yellen the front end sat still and the long end led.
- We measure it directly. Correlation between 2-year moves and slope moves runs negative under Greenspan and positive under Yellen, near-perfect mirror images.
- Curve-shape volatility tells the same story. Greenspan ran the highest curvature volatility of the four Chairs, and Yellen ran the lowest by a wide margin.
- A Greenspan toolkit – short statement, little guidance, small balance sheet – means a noisier front end and a more volatile curve shape, even at a flat level.

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Interest Rate Strategy

United States | It's the hammer more so than the carpenter

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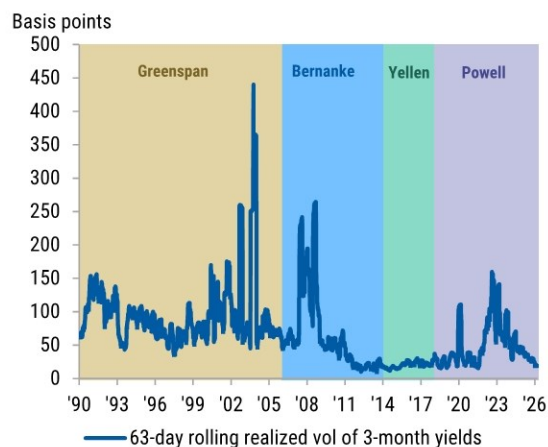
Do Fed Chairs determine the rates regime or the tools they use?

Do different rates regimes march to the beat of different Fed Chairs? We think the toolkit used by the Fed determines rates regimes more so than any other factor. How do we define each regime? Let's start with how not to sort them.

Sorting the last four Fed Chairs (Greenspan, Bernanke, Yellen, Powell) by the level of yields just sorts them by the era they served in. Yields under Greenspan look high because yields in the 1990s were high. Yields under Yellen look low because she ran policy at the zero bound. The level of yields reflects the cycle, not the Chair.

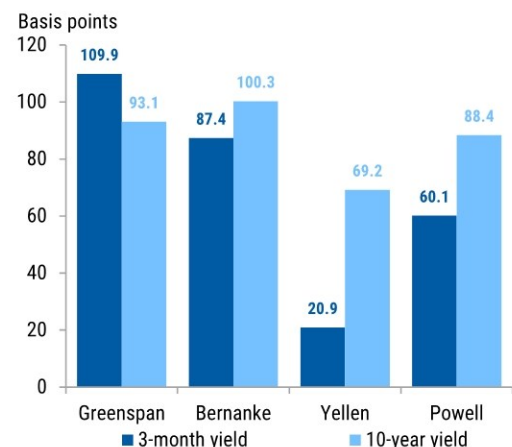
Front-end volatility works far better. We take the 3m yield, measure how much it moves over rolling 63-day windows, and annualize it ([Exhibit 1](#)). The data suggest that the front end was noisier under Greenspan, quieted through the crisis, went nearly silent under Yellen, and woke back up under Powell.

Exhibit 1: Front-end volatility: 3m par yield, daily changes, 63-day standard deviation, annualized



Source: Morgan Stanley Research, Bloomberg

Exhibit 2: Front-end vs back-end volatility by Fed Chair: 3m yield, 10y yield, period standard deviation



Source: Morgan Stanley Research, Bloomberg

The ranking across the four Chairs is stark ([Exhibit 2](#)). Front-end volatility falls from roughly 110 basis points (bp) annualized under Greenspan to 21bp under Yellen, then recovers to 60bp under Powell. The long end hardly moves across the four. It sits near 90 to 100bp for everyone except Yellen. The Chairs differ at the front end, not the back.

Consider Yellen's 21bp. A policy rate pinned at zero cannot move, and neither can the front end attached to it. That number reflects the rate environment and the tools she used, not Janet Yellen. The same logic runs in reverse for a Chair who steps back from guidance and lets the front end trade.

Under Greenspan, the front end drove the whole curve

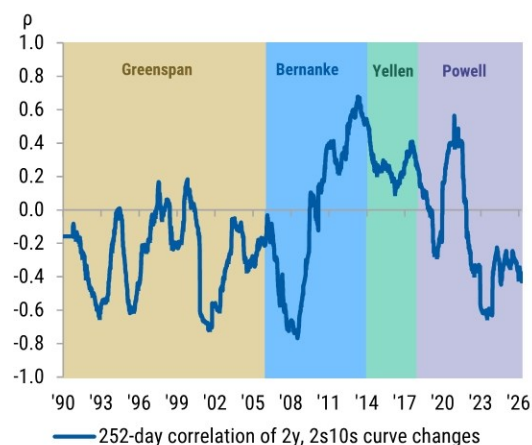
This is the part that matters most for the Warsh question. In some regimes, the front end leads and the rest of the curve follows. In others the front end sits anchored and the long end moves the curve around it. We can tell which regime we are in.

We take the daily change in the 2y yield and the daily change in the 2s10s curve slope, and ask whether they move together (see [Exhibit 3](#)). When the front end drives, a 2y selloff flattens the curve, so the two move in opposite directions and the correlation turns negative. When guidance pins the front end, the long end sets the slope, and the correlation turns positive.

The readings line up with the toolkit. Greenspan averages about -0.28 . The front end led. Yellen averages about $+0.29$. The long end led while the front end sat at zero. Powell sits at -0.13 , halfway back toward the Greenspan pattern. Bernanke sits near zero, the handoff between the two worlds.

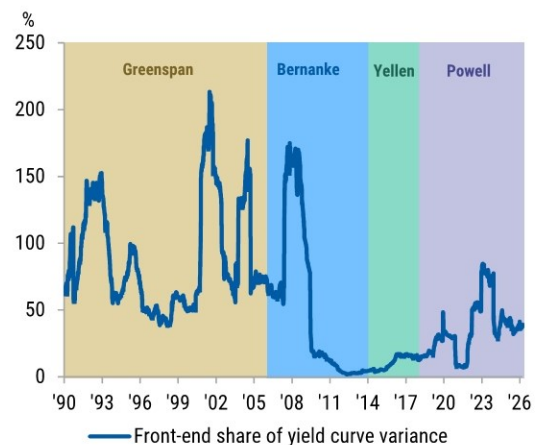
[Exhibit 4](#) makes the same point another way. We compare how much the front of the curve moves against how much the whole curve moves, over rolling one-year windows. Under Greenspan the front end accounted for about 90% of the curve's variation. Under Yellen it accounted for roughly 10%.

Exhibit 3: Correlation between daily changes in 2y yields and the 2s10s yield curve shape



Source: Morgan Stanley Research, Bloomberg

Exhibit 4: Front-end share of yield curve variance: average daily change of 1m-2y yields vs. 1m-30y



Source: Morgan Stanley Research, Bloomberg

Readings above 100% mean the front end moved more than the curve as a whole. Put differently, the front end was the curve under Greenspan and barely mattered to it under Yellen.

Less guidance means a more volatile curve shape

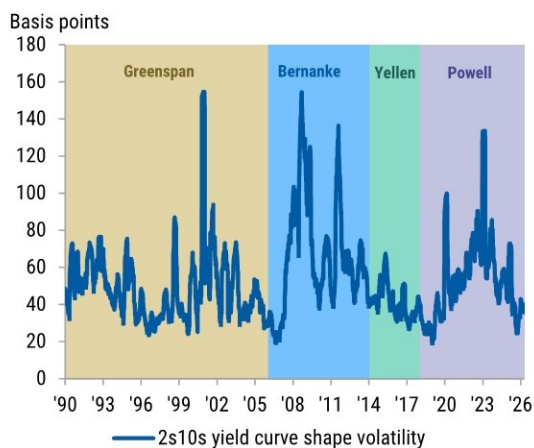
A Chair who guides less hands more of the work back to the market. That uncertainty does not stay in the front end. It moves out along the curve and shows up in the shape. A step back toward the Greenspan toolkit should therefore lift the volatility of the slope and the curvature, not only the level.

The data already shows it. We measure how much the slope moves over rolling 63-day windows and annualize it (see [Exhibit 5](#)). We do the same for curvature, the 2s10s30s butterfly, a standard gauge of how bowed the curve sits (see [Exhibit 6](#)).

Curvature gives the cleaner read. Greenspan ran the highest curvature volatility of the four Chairs at about 80bp. Yellen ran the lowest at about 44bp. Powell sits in between near 52bp. The forward-guidance era did not only calm the front end; it pressed down on the whole shape of the curve.

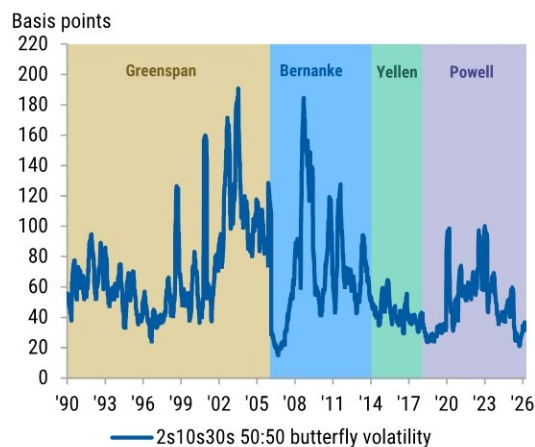
Investors underappreciate this part of the story. Most watch front-end volatility. Fewer watch the volatility of the curve's shape. If the next Chair guides less, both rise together, and we suspect the move in curve shape catches the most investors offside.

Exhibit 5: Yield curve slope volatility: 2s10s curve, daily changes, 63-day standard deviation, annualized



Source: Morgan Stanley Research, Bloomberg

Exhibit 6: Yield curve curvature volatility: 2s10s30s butterfly, daily changes, 63-day standard deviation, annualized



Source: Morgan Stanley Research, Bloomberg

What a return to the Greenspan toolkit would look like

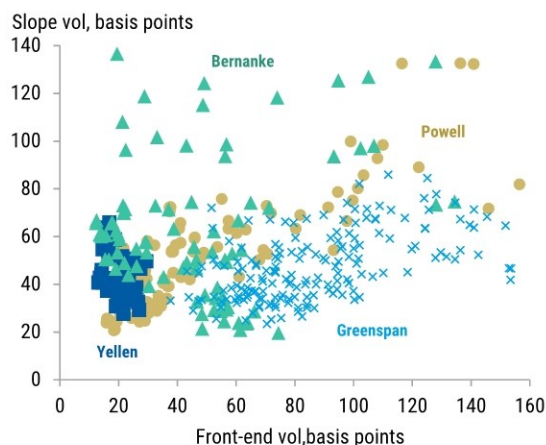
Front-end volatility and curve-shape volatility move together. When the front end is more volatile, so is the shape of the curve ([Exhibit 7](#)). The Greenspan months sit to the upper right, high on both measures. The Yellen months sit to the lower left, low on both. Powell sits between them, nearer to Greenspan.

The scorecard ranks all four Chairs on the three volatility measures at once ([Exhibit 8](#)). Greenspan ranks high across front-end, slope, and curvature volatility. Yellen ranks low across all three. Bernanke and Powell land in the middle, with the crisis and its aftermath lifting Bernanke's slope volatility.

A Chair who runs policy the way Greenspan did, i.e., a short statement, little forward guidance, a small balance sheet, would not necessarily change the level of yields. The economy sets the level. What changes is the behavior of the curve. The front end moves more. The slope and curvature move more. The market takes back the work that guidance has done since 2009.

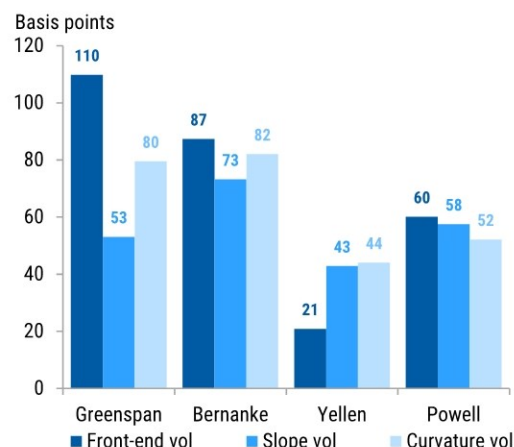
That is the regime shift to watch for. Not a new level for yields, but a front end and a curve shape that move the way they did before guidance took over.

Exhibit 7: Front-end vol vs. curve slope vol: 3m vs. 2s10s curve



Source: Morgan Stanley Research, Bloomberg

Exhibit 8: Regime scorecard: three volatility dimensions



Source: Morgan Stanley Research, Bloomberg

Investment implications

A move back toward the Greenspan toolkit argues for owning curve-shape and front-end volatility rather than fading it, and for less conviction in the tight, range-bound trading that defined the guidance era. If the next Chair guides less, realized volatility in the front end and in curve shape rises from today's compressed levels, and positioning built for a quiet curve carries the most risk.

We would rather own low front-end and curvature volatility here than lean against it. This speaks to the distribution of outcomes, not the level of yields.

- **Trade idea: Maintain SFRZ6M7 curve flatteners at 2bp with a target of -10bp and an initial stop of 20bp.**
- **Trade idea: Maintain long 2-year (Sep '27) UST SOFR swap spreads at -9.6bp with a target of -10bp and a trailing stop of -15bp.**

Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Strategy				
TRADE	ENTRY LEVEL	ENTRY DATE	RATIONALE	RISKS
Maintain SFRZ6M7 curve flattener	10.5bp	5/22/2026	We think SFRZ6M7 curve flatteners offer a compelling way to express the view that market pricing places too much weight on hawkish Fed tail risks, in response to the oil shock, and the allure of a AI-driven industrial activity renaissance. This relative value expression allows investors to exploit a substantial insurance premium against rate hikes, removes outright duration beta, while not requiring a near-term dovish pivot by the Fed.	The main risk is if fiscal stimulus arrives before the mid-term elections, which would justify currently elevated levels of near-term inflation expectations.
Long 2y (Sep '27) UST SOFR swap spread	-21.6	10/3/2025	We expect softer funding conditions and a steepening of the very front end to cause swap spreads in the front end to widen given recent relationships.	Risks to the trade include firmer funding than expected or a stabilizing job market.

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